

vehicles related to bitcoin or cryptoassets. This may be due to those firms having internal policies that keep their advisors from recommending products that haven't been fully evaluated by their own internal research teams or simply by a lack of knowledge and interest in these assets as investment vehicles.

WHAT'S NEXT?

We believe that cryptoasset investment vehicles will continue to proliferate, broadening exposure to even the most conservative investors who will eventually realize the uncorrelated value add of this new asset class. Even though the SEC didn't approve the Winklevoss or SolidX ETFs, we believe international regulators will continue to explore this innovative new asset class, which ultimately may help to raise the SEC's comfort level with bitcoin and cryptoassets. That said, the SEC's priority is consumer protection, and if it feels there are still not enough consumer protections in place for bitcoin and other cryptoassets, then it has no obligation to approve any exchange-traded products.

Globally, securitization efforts will continue around bitcoin, which will open the door for other cryptoassets that hold true merit, like ether, to be incorporated into capital market vehicles. Grayscale has moved forward with the Ethereum Classic (ETC) Investment Trust, which operates similarly to the BIT but holds ether classic, not to be confused with the much larger asset, ether.